States in global financial markets. As Foreign Minister Amorim put it two months later, “China isn’t our big problem—the United States is.”[245] However, as discussed in the fourth case of BRICS financial statecraft in Chapter 3, RMB internationalization, it is not at all clear that Chinese currency policies, as compared to those of the excoriated United States, actually were more beneficial to Brazil. A larger role for the RMB in global (in contrast with East Asian regional) markets probably would not be in Brazil’s interest.[246]

Overall, the value that Brazilian policymakers have placed on their participation in the BRICS club fluctuates with the political fortunes of the incumbent administration and the economic fortunes of the country. There are clear stages in Brazil’s participation in the BRICS, having to do with Brazil’s domestic political economy on the one hand and its relationship with China, the dominant state within the club, on the other. For example, Brazil was riding high in 2008, heady with economic success, at least partially thanks to China’s demand for commodities. Then the global financial crisis hit. Yet, despite

some roller-coaster moments with the exchange rate as the global financial crisis spread from the United States to the rest of the capitalist world economy, by early 2009, Brazil and several of the other large emerging economies, including India and China, had defied the odds and pulled out of the global slump ahead of the major advanced industrial nations. Brazilian policymakers and the commentariat gleefully celebrated their unanticipated escape.[247] Finance Minister Mantega claimed that Brazil could deliver “a qualitative leap in productivity” to “grab the opportunities open . . . in the post-crisis world,” emphasizing the key roles of the Brazilian Development Bank (BNDES), Brazil’s majority state-owned oil company, Petrobras, and emerging powers with large domestic markets —“China, India, and Brazil”—in driving future global growth.[248] In this context, it was easy for many PT politicians and other opinion leaders to imagine Brazil escaping from the orbit of the United States and Europe, forging global links with newly powerful emerging economies instead.

This BRICS/emerging powers euphoria lasted into early 2013, and thus into the initial years of the administration of da Silva’s chosen successor, party loyalist and technocrat Dilma Rousseff. President Rousseff retained Finance Minister Mantega and other members of da Silva’s self-confident